Inverted Duty Structure under GST

An inverted duty structure is currently in evidence in quite a few products. Mobile phones have GST of 12 per cent, whereas batteries and phone parts have 18 per cent. Fabric carries GST duty of 5 per cent whereas yarn has duty of 12 per cent. Tractors have duty of 12 per cent, whereas parts have 18 per cent. Desktops are charged 12 per cent, whereas monitors, printers, etc., have a GST rate of 28 per cent.

Corporate Tax Cut 2019

The Government Announced Mega Cuts in Corporate Tax Rates

The government announced massive cuts in corporate taxes on 20 September 2019 though it did not have an impact on CIT collections of the first half of financial year 2019–20 as the advance corporate taxes had been deposited before the deadline of 15 September. Actual CIT collected during the first half of 2019–20 was Rs 2,49,327 crore, 2.29 per cent higher than the Rs 2,43,742 crore collected in the first half of financial year 2018–19.

The government reduced the basic corporate tax rate from 30 per cent to 22 per cent for all companies and 15 per cent for new manufacturing companies. The Taxation Laws (Amendment) Bill, 2019, passed by the Parliament on 5 December 2019, which operationalized the 20 September announcements, brought significant changes.

Domestic companies with an annual turnover over Rs 250 crore were required to pay CIT at 30 per cent (the remaining companies were assessed at 25 per cent) until 2018–19 (assessment year 2019–20). This limit had been raised to Rs 400 crore in July 2019 when the main Budget was presented. By this Amendment Law, all domestic companies (irrespective of turnover) were given an option to pay tax at only 22 per cent if they did not avail certain specified deductions. The health surcharge of 15 per cent